Despite a long list of risks, 2027 could deliver a surprisingly benign global backdrop of resilient growth, easing inflation and steady central banks. But political disruption in Europe and mounting fiscal pressures could quickly challenge that outlook



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ING's base call: All will be good

The list of potential downside risks is long, but the global economy will enjoy another year of resilience. In the US, the Trump administration is riding into the sunset without disruptive fireworks, sparing the global economy new trade tensions and new wars.

Instead, the investment boom in AI might slow down somewhat, but infrastructure investments and AI adoption will support growth in many economies as energy prices return to more normal levels. At the same time, the current

inflation wave will lose momentum, allowing central banks to keep their powder dry.

The mix of modest growth, slowing inflation and policy rates being only mildly restrictive could surprise many. Admittedly, this is a scenario accompanied by a lot of uncertainty and noise, but underneath this well-known layer of risk and fear, an almost benign macro environment could emerge in 2027. What a nice change.

Our risky call: Transatlantic divide makes an u

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Europe closer together. The irony of 2027 could be that, just as Trump enters his lame-duck period, political divisions within Europe begin to do the damage to European unity that external pressure from Washington never could.

Our bold call: Global fiscal dominance

Our bold call for the global economy sees many governments struggling with the pressures of higher interest rates, rising debt levels and the need to increase investments, while ensuring social or societal peace.

We have seen the script before; it's one that leads to spiralling government debt and even higher interest rates. There are two main ways out of this situation. The first would be a globally coordinated debt restructuring, which is even too bold for this call. The second is imposing direct or indirect pressures on major central banks to restart asset purchase programmes and keep bond yields under control, with the option to still write off government bonds once they are on central banks' balance sheets.

Global outlook

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